

Chegg Inc CHGG

July 22, 2026 - 2:23pm EST

by ma1ibuman

			2026	2027
Price:	0.90	EPS	0	0
Shares Out. (in M):	112	P/E	0	0
Market Cap (in \$M):	101	P/FCF	0	0
Net Debt (in \$M):	0	EBIT	0	0
TEV (in \$M):	0	TEV/EBIT	0	0

Description

Chegg (NYSE: CHGG) is arguably the best risk/reward skew I've come across in 2026. Heads = 500% upside; Tails = -20%. To be clear, it's a binary situation so size your risk accordingly. This writeup will also be concise/to the point. I hope from my short BMBL pitch that went viral on X last year (https://www.valueinvestorsclub.com/idea/BUMBLE_INC/5684121219#description), we have learned less words $\neq$ less alpha.

Most people know CHGG as the poster child of "destroyed by AI". I've come across countless posts on X, LinkedIn and Instagram recapping CHGG as a cautionary tale.

CHGG is a cash shell with a dying legacy business (the one it's known for) and a worthless call option wrt their corporate skilling/courses business.

CHGG's legacy segment is shrinking and it's obvious that it will not be around in 3 years. That said, it's profitable and even with decremental margins, I assume it will spit out meaningful cash until then. Today CHGG has roughly 31% of its market cap in net cash. As of Q1FY26, Academic Services is doing ~\$182mm in annualized sales. This is of course shrinking very fast. I believe this segment can do \$200mm in net new sales before it's dead. The gross margins are roughly 60% including the Skillings business, and I believe the AS segment actually has higher gross margins vs. consolidated. I'll be conservative and say 35% of this \$200mm will actually wind up as cash on the balance sheet. That's accounting for management's possible ineptitude/reinvestment into a worthless Skillings business/decremental margins/taxes/etc. That's \$70mm in cash added to the balance sheet, meaning \$102mm in net cash on the balance sheet, vs. an equity value of \$104mm today. You can do your own precise math if you want.

CHGG's pivot into corporate skilling/courses is, in my opinion, worthless. I'd think about it as, any cash they funnel into this is just lit on fire. The downside of 20% is me underwriting a future where management doubles down on this black hole of a segment.

Where do I then get this 500% upside figure?

<https://www.businesswire.com/news/home/20260513633724/en/Chegg-Expands-Into-AI-Model-Training-Leveraging-a-Decade-of-Learning-Expertise-Subject-Matter-Experts-and-Proprietary-Data>

CHGG is looking to leverage their experts to create training data for the frontier labs. Think: random college and PhD students who previously were tutors/solving questions on CHGG's platform. As a comparable, I would point you to the rise of Handshake AI. Handshake has a unique position for sourcing college students via their legacy hiring portal. Handshake realized they could have these many students work on creating training data for the labs. Handshake AI has scaled to well north of \$500mm in annualized revenue within three years.

I don't think CHGG is the next Handshake AI. Frankly their position is inferior and management is not that good. That said, it's easy enough for me to believe that they can reach out to their network of tutors and have a fraction of them create training data in exchange for pay. For the student, does it really matter if the money comes from Handshake or Chegg or Scale? Chegg describes their network as >250,000 experts.

The timeline is consistent with what I would expect. The original CEO returned in late 2025 (bullish). They hired Erik Manuevo to incubate this business, and they launched it in March of this year before going public with a press release in May. Their board has well-connected individuals who could easily provide introductions to the labs (including one who was very senior at Meta). We're not underwriting a Handshake AI outcome (though that would yield a >20X return).

Valuation:

If they get this new segment actually working, they could easily scale to \$50mm in annualized revenue within 18 months of their first contract. Privates in this space seeing similar growth receive a >10X sales multiple.

\$500mm + \$102mm in net cash = \$602mm in equity value, ~480% in upside

I also think there's a non-zero chance this is the next meme squeeze, considering how small the float is, how it's widely perceived as a terminal 0, and how it's a meme-y name like Gamestop.

Risk:

If they can't announce a deal with a lab in the next 4 quarters, I would likely give up as it suggests incompetence

I do not hold a position with the issuer such as employment, directorship, or consultancy.
I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

Deal announced with a lab

Messages

Subject	Neat idea
Entry	07/22/2026 03:46 PM
Member	walter99

This is a neat idea, and I really like the creativity behind it.

I agree that a concise writeup is better than a long, rambling one.

With that being said, can you flesh out your assumptions on revenue a little more? I say this in the spirit of "look down, not up." The downside protection ("look down") is a function of the cash generation, which is a function of your sales estimates. If it's possible, I'd like to better understand how you got to where you did on revenue.

Thanks again.

Subject	OpEx Trajectory
Entry	07/22/2026 04:37 PM
Member	duds25

Thanks for the interesting idea. I have been long the bonds since they were trading in the low 80s, so I've followed the name for a bit.

You mentioned gross margins for the combined business in the ~60% area, and also apply a 35% FCF margin on remaining net sales for AS in your downside case. Consolidated guidance for Q2 per the Q1 call has gross margins at 52% and Adj. EBITDA of ~\$6 million, severance cash costs should slow down meaningfully through FY26, but wondering what your thoughts are on how exactly to bridge to the >30% FCF margin number for the AS business on declining top line given lack of cost disambiguation between the two businesses? Are you assuming more cost cuts or is that a steady state number?

These details are pretty central to the debt story but obviously somewhat tangential to the equity story, however downside case is nonetheless still important to have a true sense of r/r. Thanks again.

Subject	Re: OpEx Trajectory
Entry	07/22/2026 05:00 PM
Member	acm2025

Yeah why is the downside not 100% (instead of 20%)? The other two questioners kinda cover it, but you clearly have a low opinion of management. Won't they just light the legacy cash on fire looking for something/anything if the upside play doesn't work?

Not to say the R/R isn't still very good...